

Risk for Indian Agrochemical Companies

Major risks for Agrochemical Industry include local, seasonal, and climatic factors, local economic conditions, counterfeit products, and slow industry growth that leads to cut-throat competition.

Local factors affect all regional Agrochemical companies. However, UPL Ltd, the largest Indian Agrochemical Company, can avoid almost all local risks such as seasonal fluctuations and geographical risks. Since the company operates in six continents, the effects and fluctuations of local factors get neutralised. As a result, UPL is better equipped to handle risks than its local peers.

Risks Identified
Seasonal fluctuations, climatic variations and rainfall
Customers unable to pay credit purchase due to local economic conditions
Risk of not getting all the required approvals
Brand image amongst farmers getting hurt
Slow industry growth
Fluctuations in price of commodities
Counterfeit products
Inadequate R&D pipeline
Social Resistance against the use of Agrochemicals